FTC.L - Filtronic | Full investment artifact

Full active edition | Financial methods and portfolio Base overrides preserved.

Research date: 3 October 2026; financial-model anchor retained from 17 September 2026 | **Framework:** 8.0 | **Format:** standalone current-state analysis **Status:** NOT HELD (last supplied artifact; no trade-state refresh) | **Classification:** ⚡ BOTTLENECK: qualified high-power mmWave RF platforms; customer concentration and alternatives limit permanence **Artifact Base:** 46/60 = **77% - High Conviction** | **Protected portfolio Base:** 80% (user override retained; separate from artifact assessment) **Snapshot:** supplied-workbook price GBp 244.000; model share proxy 256.400000M; implied snapshot market capitalization 625.616 GBP millions. Price is frozen from the supplied workbook, not a current-market refresh; capitalization uses the modeled denominator. **Active ceiling:** Q4 2027 **GBp 176.007408**, pricing Q4 2027-Q3 2028. All 15 quarterly ceilings are derived below. The 1 October calendar roll selects the existing path; the new order changes evidence, not these forecasts.

Filtronic converts high-frequency RF engineering into repeat, qualified products and complete systems. GaN E-band deployment, delivered V-band samples and a second US customer's payload follow-on award make the next expansion more concrete. The forward opportunity is larger than gateway amplifiers alone; profitable standard-product scale, not satellite counts by themselves, determines capture.

1. Supercycle, supply chain and durable advantage

Demand is driven by qualified RF content per gateway, satellite and defence platform. More throughput and higher bands can raise content, but launches do not mechanically equal Filtronic revenue. Repeat programme qualification is the bottleneck; diversification and systems integration can widen the addressable market. The investment case requires profitable order conversion, not only a larger engineering pipeline.

End users demand satellite bandwidth and resilient military connectivity → SpaceX, other constellation operators and defence primes build networks/platforms → gateways, payloads, radar and electronic-warfare subsystems → Filtronic high-power RF amplification, transmit/receive and integrated systems. Power efficiency, heat dissipation, packaging and high-frequency testing create engineering barriers. The company describes itself as the only high-volume supplier in specified very-high-frequency SSPA applications; that is a current management claim supported by customer programmes, not independent proof of permanent exclusivity. Customer in-housing and competing technologies remain scored.

Business / curve	Stage	Evidence and next inflection
GaN E-band	Ramp 10-50%	Initial deployment is real; larger production follows in H2 FY2027.
V-band / complete systems	Pre-ramp to ramp, 0-10% progressing toward 10-50%	200W samples delivered; standard products and qualification precede FY2028 volume.
W-band and new constellations	Pre-ramp 0-10%	Management roadmap points to FY2029 volume; incremental orders must accompany capacity.
Defence RF	Ramp 10-50% of modeled programme opportunity	FY2027 defence expected to more than double; long programmes improve repeatability.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
Phase 1 - current markets;100% thematic	Space gateways, payloads and defence high-capacity RF	Issuer identifies USD 4.5 bn serviceable demand over five years. That is cumulative SAM, not annual Filtronic revenue. At a reference USD 1.34/GBP, an evenly annualized denominator is GBP 671.642M; FY2026 space+defence 48M is a 7.15% capture proxy, not a reported market share. [FTC-2]
Phase 2 - adjacencies;50% thematic	V/W/Ka bands, full systems, additional orbits/constellations and sovereign networks	V-band alone is an issuer USD 3 bn ten-year ground-station SAM. It overlaps the broader space opportunity and is not added wholesale to USD 4.5 bn. Qualified systems can raise content per programme.
Phase 3 - new applications;20% thematic	RF-over-IP virtualized infrastructure and new regional security/space networks	Existing RF platforms, samples, and India channel access provide an engineering/commercial route. The non-binding Spur MoU has no disclosed revenue amount; a channel relationship does not equal a new customer contract. [FTC-6]

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

FY ended 31 May 2026: reported revenue GBP 55.529M, material/product cost 26.446M, contribution before staff and other operating costs 29.083M, operating costs net of other operating income 25.112M, statutory OP 3.971M. Adjusted EBITDA 11.257M is not OP. Forward product GP below uses this contribution-cost convention; manufacturing payroll and depreciation remain in operating costs. The latest reported diluted weighted-average share count is 256.400M, versus 219.797M basic.

The August 2026 FY2026 and February 2026 HY2026 issuer management presentations were read, along with the FY2026 annual-report accounting notes and the September 16 RNS. The decks contain management outlook and a Q&A placeholder; spoken Q&A transcripts were not obtained. They are not described as complete call transcripts.

The two latest results presentations and FY26 financial notes are covered. Full spoken management Q&A remains unavailable in the located source set; that specific framework evidence gate is open. The September 16 payload contract, October 1 SpaceX production order and current technology roadmap are incorporated. All full-artifact sections and quarterly derivations are present; future capture and contribution margins remain analyst assumptions.

October production order: coverage within the existing ramp

The 1 October issuer release discloses a USD 68.1M (GBP 51.3M) follow-on SpaceX order for Cerus E-band GaN SSPAs, expected to be **materially fulfilled during FY2028**. It is described as underpinning existing Board expectations for that year. This is a new production order, distinct from the September 16 GBP 5.9M payload-development award, but its economics overlap the already-modeled GaN ramp. It is not an earnings release or a numerical guidance increase. [FTC-7]

Filtronic: October 1 production order

Primary-source text summary | Not a screenshot or additional company guidance

Amount and product

USD 68.1 million / GBP 51.3 million; Cerus E-band GaN solid-state power amplifiers for SpaceX.

Timing and scope

Expected to be materially fulfilled during FY2028; the issuer says it underpins existing Board expectations.

Model transmission

Delivery judgment 90%; mapped entirely to the existing GaN/core-space ramp. No separate revenue increment.

Issuer release: 1 October 2026 | Source FTC-7; original text and URL are archived

Figure 5. Clearly labeled transcription/summary of Filtronic's 1 October 2026 release, not an original company graphic. The timing qualification is material: order value is not identical to one fiscal year's recognized revenue.

The full order would cover **77.3668%** of the existing **GBP 66.3075M FY2028 core-space** forecast if every pound were recognized in that year. That is a bounded coverage test, not reported backlog coverage: "materially" does not establish the entire amount, and neither detailed phasing nor margin is disclosed. Remaining core-space revenue would be GBP 15.0075M under that all-in-year limit. The separate payload vector contributes GBP 3.54M in FY2028 and is excluded from the coverage denominator.

FY2028 bounded comparison	GBP millions	Status / interpretation
Core-space model, excluding separate payload	66.307500	Existing model: 10.525 x (1.35+1.50+1.65+1.80)
October SpaceX order	51.300000	Signed total; materially FY2028, not guaranteed all in year
Uncovered core-space balance if all in FY2028	15.007500	Bounded subtraction; not an order-book reconciliation
Separate September payload in FY2028	3.540000	Already recognized in separate vector; not duplicated
Core space plus payload FY2028	69.847500	Unchanged combined space-related model

The 90% delivery probability is a subjective execution judgment for the stated order, supported by repeat production and an identified customer; acceptance, scheduling and concessions keep it below certainty. **Overlap is 100% for model-admission purposes**: the production ramp was already in the reference. Therefore incremental revenue = GBP 51.3M x (1 - 100%) = GBP 0; probability-weighted incremental revenue = 90% x GBP 0 = GBP 0. OP and every ceiling remain unchanged. This is an already-included disposition, not a refusal to price unconfirmed evidence.

4. Local evidence and calibration packet

Primary issuer evidence: annual report, two management decks, RNS contracts and September market-access announcement. Demand inputs are customer programmes and the source-sized SAM. Margin inputs start with material contribution then subtract the real operating-cost base. Timing uses fiscal quarter ends, H2 FY27 GaN ramp and H1 FY28 payload completion. Calibration:42.1+5.9+7.529=55.529M FY26 revenue; the three starting contribution proxies reproduce 29.083M reported contribution before operating costs. The September 16 payload award has no historical revenue and is separately identified; the October 1 production order is mapped to the existing core-space vector. Historical fit does not validate the future capture slope.

5. Summing thesis score

Category	Points / maximum	Evidence
Core thesis	17/20	Current management asserts high-volume very-high-frequency SSPA leadership; named customer contracts, production deployments and advance-funded programmes support qualified supplier economics. Permanence across architectures is unproven.
Cycle stage	8/10	GaN volume ramp is ahead; FY2026 investment depressed earnings.
TAM expansion	9/10	Higher bands, full systems and additional constellations expand content per customer.
Catalysts	5/5	FY27 GaN volume ramp, V-band standard products and September 16 USD 8M payload follow-on award provide dated programme milestones.
Macro	8/10	Space and sovereign communications investment support demand.
Alpha	3/5	Concentration and dilution matter more than headline satellite counts.
Risks	-4	Customer concentration, programme timing, pricing/technology competition, and dilution/FX.

Sum: 46/60 × 100 = 76.666667%, conventionally rounded to 77%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

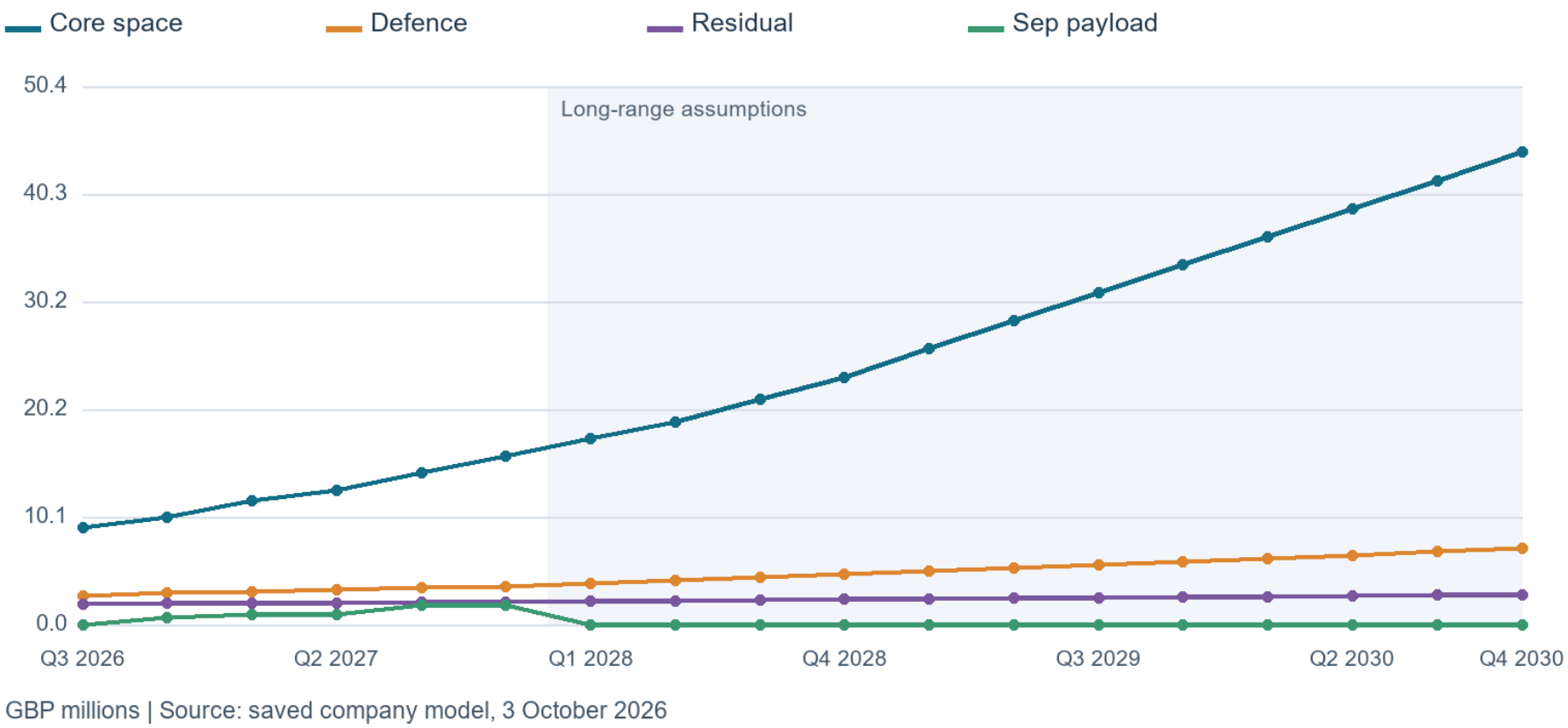
FY2026 Space 42.1M, Defence 5.9M and residual Communications 7.529M are the historical demand anchors. Base FY2027 recognized revenue is set to the approximately GBP 63M outlook that management endorsed in August, with H2-weighted GaN conversion. The September 16 GBP 5.9M payload award is a separate incremental contract, allocated 10%/15%/15%/30%/30% from Q4 2026 through Q4 2027; 40% falls in FY2027 and 60% in H1 FY2028. Thus FY2027 modeled revenue is GBP 65.36M. The old programme factors exclude that award. Its GBP 0.4M June precursor and the same customer's March amplifier order are within the existing programme base, not separately added. Outer years apply explicit qualified-programme capture factors to the historical end-market anchors, supported by the company roadmap and USD 4.5 bn five-year SAM; the factors are analyst estimates, not orders. Product contribution margins calibrate to FY2026 material costs. Staff, R&D, SG&A, depreciation and compensation are in operating costs. Quarter labels are calendar buckets containing the fiscal quarter-end: Aug→Q3, Nov→Q4, Feb→Q1, May→Q2; they represent the company fiscal three-month periods, not literal calendar-month revenue. Revenue includes the modeled commercial/warrant consideration convention; no historical warrant charge is added back as free profit.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
Existing space programmes	FY2026 GBP 42.1M /4=10.525M quarterly anchor. [FTC-1;FTC-2]	Near-term factors are calibrated with other divisions to the GBP 63M management-endorsed FY27 base. Excludes the separate September payload award; includes earlier disclosed contracts and higher-band programme opportunities. Q4 2030 factor 4.2 gives GBP 44.205M quarterly sales; its capture is conditional.	55%→57% material contribution; payroll and depreciation are below this line. Qualification and standardization support absorption; margins are analyst assumptions.
Aerospace and defence	FY2026 GBP 5.9M /4=1.475M. [FTC-2]	FY27 factors 1.8/2.0/2.1/2.2 imply 11.9475M, consistent with more than doubling. Later programme wins extend the proxy toward factor 4.8. No defence-wide spending percentage is blindly applied.	45%→50% contribution before payroll/overhead, reflecting programme mix and repeat manufacture.
Communications / residual	FY2026 residual 7.529M /4=1.88225M. [FTC-1]	P25/public-safety and existing RF opportunities; slow factor growth to 1.48. New regional channels are represented within the existing opportunity; a credible incremental channel signal can be valued with a bounded capture proxy before a signed order, with overlap removed.	43.472% anchor contribution balances to reported company material costs; roughly 44% forward.
September payload award	GBP 5.9M total signed award. [FTC-5]	Zero before September;10%,15%,15%,30%,30% recognized across subsequent fiscal quarter buckets to November 2027. Total allocation 100%; no repeat-volume option or extra GBP 0.4M June order added.	55% material contribution proxy. Development labour remains in operating costs; commercial margin and exact revenue policy are not disclosed.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

Revenue mix: the operating forecast

Unchanged operating model | All plotted periods are estimates



GBP millions | Source: saved company model, 3 October 2026

Figure 1. Four non-overlapping revenue vectors from the unchanged workbook. All observations are Model; long-range capture has LOW confidence.

Quarter / Model	Core space	Defence	Residual	Sep payload	Total GBP millions
Q3 2026	9.039	2.655	1.882	0.000	13.576
Q4 2026	10.043	2.950	1.958	0.590	15.540
Q1 2027	11.549	3.098	1.995	0.885	17.527

Quarter / Model	Core space	Defence	Residual	Sep payload	Total GBP millions
Q2 2027	12.554	3.245	2.033	0.885	18.717
Q3 2027	14.209	3.393	2.070	1.770	21.442
Q4 2027	15.788	3.540	2.108	1.770	23.206
Q1 2028	17.366	3.835	2.165	0.000	23.366
Q2 2028	18.945	4.130	2.221	0.000	25.296
Q3 2028	21.050	4.425	2.278	0.000	27.753
Q4 2028	23.155	4.720	2.334	0.000	30.209
Q1 2029	25.786	5.015	2.390	0.000	33.192
Q2 2029	28.418	5.310	2.447	0.000	36.174
Q3 2029	31.049	5.605	2.503	0.000	39.157
Q4 2029	33.680	5.900	2.560	0.000	42.140
Q1 2030	36.311	6.195	2.616	0.000	45.123
Q2 2030	38.943	6.490	2.673	0.000	48.105
Q3 2030	41.574	6.785	2.729	0.000	51.088
Q4 2030	44.205	7.080	2.786	0.000	54.071

V1. Space programmes excluding September payload award

Sources: FTC-1; FTC-2; FTC-3. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	10.525000	0.858780	9.039	55.000%	4.971
Q4 2026	10.525000	0.954200	10.043	55.000%	5.524
Q1 2027	10.525000	1.097330	11.549	55.000%	6.352
Q2 2027	10.525000	1.192750	12.554	56.000%	7.030

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2027	10.525000	1.350000	14.209	56.000%	7.957
Q4 2027	10.525000	1.500000	15.788	56.000%	8.841
Q1 2028	10.525000	1.650000	17.366	57.000%	9.899
Q2 2028	10.525000	1.800000	18.945	57.000%	10.799
Q3 2028	10.525000	2.000000	21.050	57.000%	11.998
Q4 2028	10.525000	2.200000	23.155	57.000%	13.198
Q1 2029	10.525000	2.450000	25.786	57.000%	14.698
Q2 2029	10.525000	2.700000	28.418	57.000%	16.198
Q3 2029	10.525000	2.950000	31.049	57.000%	17.698
Q4 2029	10.525000	3.200000	33.680	57.000%	19.198
Q1 2030	10.525000	3.450000	36.311	57.000%	20.697
Q2 2030	10.525000	3.700000	38.943	57.000%	22.197
Q3 2030	10.525000	3.950000	41.574	57.000%	23.697
Q4 2030	10.525000	4.200000	44.205	57.000%	25.197

V2. Aerospace and defence

Sources: FTC-1; FTC-2. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	1.475000	1.800000	2.655	45.000%	1.195
Q4 2026	1.475000	2.000000	2.950	46.000%	1.357
Q1 2027	1.475000	2.100000	3.098	47.000%	1.456
Q2 2027	1.475000	2.200000	3.245	48.000%	1.558
Q3 2027	1.475000	2.300000	3.393	49.000%	1.662

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2027	1.475000	2.400000	3.540	50.000%	1.770
Q1 2028	1.475000	2.600000	3.835	50.000%	1.918
Q2 2028	1.475000	2.800000	4.130	50.000%	2.065
Q3 2028	1.475000	3.000000	4.425	50.000%	2.213
Q4 2028	1.475000	3.200000	4.720	50.000%	2.360
Q1 2029	1.475000	3.400000	5.015	50.000%	2.508
Q2 2029	1.475000	3.600000	5.310	50.000%	2.655
Q3 2029	1.475000	3.800000	5.605	50.000%	2.803
Q4 2029	1.475000	4.000000	5.900	50.000%	2.950
Q1 2030	1.475000	4.200000	6.195	50.000%	3.098
Q2 2030	1.475000	4.400000	6.490	50.000%	3.245
Q3 2030	1.475000	4.600000	6.785	50.000%	3.393
Q4 2030	1.475000	4.800000	7.080	50.000%	3.540

V3. Communications and residual

Sources: FTC-1; FTC-3. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	1.882250	1.000000	1.882	43.472%	0.818
Q4 2026	1.882250	1.040000	1.958	43.300%	0.848
Q1 2027	1.882250	1.060000	1.995	43.500%	0.868
Q2 2027	1.882250	1.080000	2.033	44.000%	0.894
Q3 2027	1.882250	1.100000	2.070	44.000%	0.911
Q4 2027	1.882250	1.120000	2.108	44.000%	0.928

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2028	1.882250	1.150000	2.165	44.000%	0.952
Q2 2028	1.882250	1.180000	2.221	44.000%	0.977
Q3 2028	1.882250	1.210000	2.278	44.000%	1.002
Q4 2028	1.882250	1.240000	2.334	44.000%	1.027
Q1 2029	1.882250	1.270000	2.390	44.000%	1.052
Q2 2029	1.882250	1.300000	2.447	44.000%	1.077
Q3 2029	1.882250	1.330000	2.503	44.000%	1.101
Q4 2029	1.882250	1.360000	2.560	44.000%	1.126
Q1 2030	1.882250	1.390000	2.616	44.000%	1.151
Q2 2030	1.882250	1.420000	2.673	44.000%	1.176
Q3 2030	1.882250	1.450000	2.729	44.000%	1.201
Q4 2030	1.882250	1.480000	2.786	44.000%	1.226

V4. September US satellite-payload prototype award

Sources: FTC-5. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	5.900000	0.000000	0.000	55.000%	0.000
Q4 2026	5.900000	0.100000	0.590	55.000%	0.325
Q1 2027	5.900000	0.150000	0.885	55.000%	0.487
Q2 2027	5.900000	0.150000	0.885	55.000%	0.487
Q3 2027	5.900000	0.300000	1.770	55.000%	0.974
Q4 2027	5.900000	0.300000	1.770	55.000%	0.974
Q1 2028	5.900000	0.000000	0.000	55.000%	0.000

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2028	5.900000	0.000000	0.000	55.000%	0.000
Q3 2028	5.900000	0.000000	0.000	55.000%	0.000
Q4 2028	5.900000	0.000000	0.000	55.000%	0.000
Q1 2029	5.900000	0.000000	0.000	55.000%	0.000
Q2 2029	5.900000	0.000000	0.000	55.000%	0.000
Q3 2029	5.900000	0.000000	0.000	55.000%	0.000
Q4 2029	5.900000	0.000000	0.000	55.000%	0.000
Q1 2030	5.900000	0.000000	0.000	55.000%	0.000
Q2 2030	5.900000	0.000000	0.000	55.000%	0.000
Q3 2030	5.900000	0.000000	0.000	55.000%	0.000
Q4 2030	5.900000	0.000000	0.000	55.000%	0.000

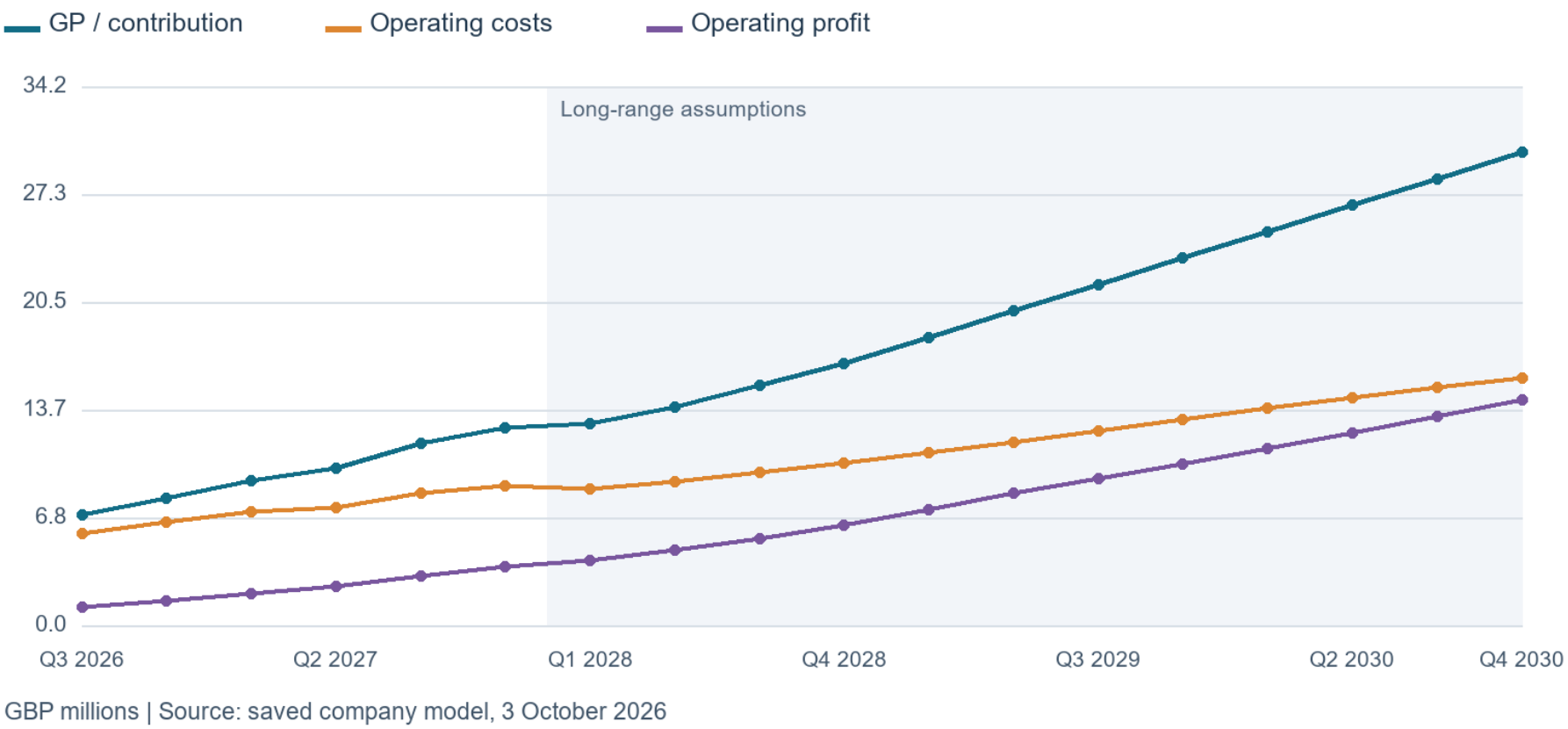
7. Operating-cost bridge and quarterly operating model

FY2026 GBP 29.083M material contribution less GBP 25.112M net operating costs gives GBP 3.971M OP. Model operating costs decline from 43% to 29% of sales as staff, engineering, SG&A, facilities and depreciation are absorbed by larger revenue. They rise in absolute money across the long-term scale-up. Development capitalization requires continued amortization and impairment monitoring; GBP 11.257M adjusted EBITDA is not substituted for OP. Customer warrants are commercial consideration affecting sales and also dilution instruments; their two accounting effects are not offset by an invented profit add-back.

Profit basis: Statutory operating-profit convention; product material contribution less staff, R&D, overhead and depreciation. Amounts below are GBP millions.

Product contribution funds operating costs

Unchanged operating model | All plotted periods are estimates



GBP millions | Source: saved company model, 3 October 2026

Figure 2. GP/contribution less the existing operating-cost path equals OP. Accounting definitions are preserved; the table below supplies every plotted value and OP margin.

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2026	Model	13.576	6.984	43.000%	5.838	8.446%	1.147	Fiscal Q1 GaAs/GaN transition	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q4 2026	Model	15.540	8.053	42.000%	6.527	9.818%	1.526	Initial payload contract work	LOW model
Q1 2027	Model	17.527	9.163	41.000%	7.186	11.277%	1.977	GaN production scales	LOW model
Q2 2027	Model	18.717	9.969	40.000%	7.487	13.262%	2.482	FY27 close; new award partly recognized	LOW model
Q3 2027	Model	21.442	11.504	39.000%	8.362	14.651%	3.141	FY28 programmes; payload prototypes	LOW model
Q4 2027	Model	23.206	12.512	38.000%	8.818	15.918%	3.694	Payload completion by November	LOW model
Q1 2028	Model	23.366	12.769	37.000%	8.645	17.647%	4.123	V-band qualified volume	LOW model
Q2 2028	Model	25.296	13.841	36.000%	9.107	18.716%	4.734	FY28 close; system mix	LOW model
Q3 2028	Model	27.753	15.213	35.000%	9.713	19.817%	5.500	W-band / multi-constellation ramp	LOW model
Q4 2028	Model	30.209	16.585	34.000%	10.271	20.902%	6.314	Repeat standard products	LOW model
Q1 2029	Model	33.192	18.257	33.000%	10.953	22.006%	7.304	Defence programme deliveries	LOW model
Q2 2029	Model	36.174	19.930	32.000%	11.576	23.093%	8.354	FY29 close; systems production	LOW model
Q3 2029	Model	39.157	21.602	31.500%	12.334	23.667%	9.267	Installed programme scaling	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q4 2029	Model	42.140	23.274	31.000%	13.063	24.230%	10.211	Asia/ME channel conversion	LOW model
Q1 2030	Model	45.123	24.946	30.500%	13.762	24.785%	11.184	Multi-band repeat orders	LOW model
Q2 2030	Model	48.105	26.618	30.000%	14.432	25.333%	12.187	FY30 close	LOW model
Q3 2030	Model	51.088	28.290	29.500%	15.071	25.876%	13.219	RF platform demand	LOW model
Q4 2030	Model	54.071	29.963	29.000%	15.681	26.414%	14.282	Sustained programme capture	LOW model

OP = sum of product GP/contribution - explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.

8. Multiple, shares and recognition convention

25× forward OP is the company-specific growth ceiling input for a qualified RF platform with expanding standard-product and system content. Recurring programmes and technical barriers support the choice; concentration, concessions and transition risk limit confidence. This is a judgment about mature operating economics, not a multiple inferred from short-term share-price behavior.

FY2026 basic weighted-average shares 219.797M and diluted 256.400M show material potential dilution. The forward proxy is 256.4M throughout, including the historical option/warrant effect; the model does not add another arbitrary 15% customer stake on top. A current instrument-by-instrument future conversion bridge remains necessary because vesting/exercise depends on terms and delivery. Cash 12.9M and net cash excluding property leases 10.8M support investment, while lease and working-capital commitments remain. [FTC-1;FTC-2]

The valuation denominator is the ceiling quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 100; this converts the model units to GBp per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit ceiling.

9. Complete rolling four-quarter ceiling derivation



Figure 3. The full 15-quarter ceiling path under the sanctioned company multiple. Q4 2027 uses Q4 2027-Q3 2028; the orange marker selects an existing value, not a new forecast.

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	Ceiling GBp	Key inflection
Q3 2026	Q3 2026 → Q2 2027	7.131152	25×	256.400000	69.531511	Fiscal Q1 GaAs/GaN transition
Q4 2026	Q4 2026 → Q3 2027	9.125992	25×	256.400000	88.981978	Initial payload contract work

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	Ceiling GBp	Key inflection
Q1 2027	Q1 2027 → Q4 2027	11.294197	25×	256.400000	110.122826	GaN production scales
Q2 2027	Q2 2027 → Q1 2028	13.440973	25×	256.400000	131.054731	FY27 close; new award partly recognized
Q3 2027	Q3 2027 → Q2 2028	15.693054	25×	256.400000	153.013397	FY28 programmes; payload prototypes
Q4 2027	Q4 2027 → Q3 2028	18.051320	25×	256.400000	176.007408	Payload completion by November
Q1 2028	Q1 2028 → Q4 2028	20.671632	25×	256.400000	201.556470	V-band qualified volume
Q2 2028	Q2 2028 → Q1 2029	23.852511	25×	256.400000	232.571283	FY28 close; system mix
Q3 2028	Q3 2028 → Q2 2029	27.471982	25×	256.400000	267.862542	W-band / multi-constellation ramp
Q4 2028	Q4 2028 → Q3 2029	31.239536	25×	256.400000	304.597656	Repeat standard products
Q1 2029	Q1 2029 → Q4 2029	35.135868	25×	256.400000	342.588421	Defence programme deliveries
Q2 2029	Q2 2029 → Q1 2030	39.015379	25×	256.400000	380.415158	FY29 close; systems production
Q3 2029	Q3 2029 → Q2 2030	42.848239	25×	256.400000	417.787041	Installed programme scaling
Q4 2029	Q4 2029 → Q3 2030	46.800408	25×	256.400000	456.322230	Asia/ME channel conversion
Q1 2030	Q1 2030 → Q4 2030	50.871886	25×	256.400000	496.020725	Multi-band repeat orders

- **Q3 2026:** (1.146621 + 1.525732 + 1.976545 + 2.482254) × 25 × 100 ÷ 256.400000 = **69.531511 GBp/share**. Window: Q3 2026-Q2 2027.
- **Q4 2026:** (1.525732 + 1.976545 + 2.482254 + 3.141461) × 25 × 100 ÷ 256.400000 = **88.981978 GBp/share**. Window: Q4 2026-Q3 2027.
- **Q1 2027:** (1.976545 + 2.482254 + 3.141461 + 3.693937) × 25 × 100 ÷ 256.400000 = **110.122826 GBp/share**. Window: Q1 2027-Q4 2027.
- **Q2 2027:** (2.482254 + 3.141461 + 3.693937 + 4.123321) × 25 × 100 ÷ 256.400000 = **131.054731 GBp/share**. Window: Q2 2027-Q1 2028.
- **Q3 2027:** (3.141461 + 3.693937 + 4.123321 + 4.734334) × 25 × 100 ÷ 256.400000 = **153.013397 GBp/share**. Window: Q3 2027-Q2 2028.
- **Q4 2027:** (3.693937 + 4.123321 + 4.734334 + 5.499727) × 25 × 100 ÷ 256.400000 = **176.007408 GBp/share**. Window: Q4 2027-Q3 2028.
- **Q1 2028:** (4.123321 + 4.734334 + 5.499727 + 6.314249) × 25 × 100 ÷ 256.400000 = **201.556470 GBp/share**. Window: Q1 2028-Q4 2028.
- **Q2 2028:** (4.734334 + 5.499727 + 6.314249 + 7.304200) × 25 × 100 ÷ 256.400000 = **232.571283 GBp/share**. Window: Q2 2028-Q1 2029.
- **Q3 2028:** (5.499727 + 6.314249 + 7.304200 + 8.353806) × 25 × 100 ÷ 256.400000 = **267.862542 GBp/share**. Window: Q3 2028-Q2 2029.
- **Q4 2028:** (6.314249 + 7.304200 + 8.353806 + 9.267280) × 25 × 100 ÷ 256.400000 = **304.597656 GBp/share**. Window: Q4 2028-Q3 2029.
- **Q1 2029:** (7.304200 + 8.353806 + 9.267280 + 10.210582) × 25 × 100 ÷ 256.400000 = **342.588421 GBp/share**. Window: Q1 2029-Q4 2029.
- **Q2 2029:** (8.353806 + 9.267280 + 10.210582 + 11.183710) × 25 × 100 ÷ 256.400000 = **380.415158 GBp/share**. Window: Q2 2029-Q1 2030.

- **Q3 2029:** (9.267280 + 10.210582 + 11.183710 + 12.186666) × 25 × 100 ÷ 256.400000 = **417.787041 GBp/share**. Window: Q3 2029-Q2 2030.
- **Q4 2029:** (10.210582 + 11.183710 + 12.186666 + 13.219449) × 25 × 100 ÷ 256.400000 = **456.322230 GBp/share**. Window: Q4 2029-Q3 2030.
- **Q1 2030:** (11.183710 + 12.186666 + 13.219449 + 14.282060) × 25 × 100 ÷ 256.400000 = **496.020725 GBp/share**. Window: Q1 2030-Q4 2030.

10. Annual trajectory cross-check

Calendar year	Revenue	GP / contribution	Opex	OP	OP margin
2027	80.891	43.147	31.853	11.294	13.962%
2028	106.623	58.408	37.736	20.672	19.388%
2029	150.663	83.063	47.927	35.136	23.321%
2030	198.387	109.817	58.945	50.872	25.643%

These are calendar-year sums of the quarterly path, not extra revenue and not the live valuation method. For non-December fiscal reporters, fiscal guidance and these calendar totals must be aligned using the period mapping above; a four-quarter run rate is not automatically the same fiscal year. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

The model tests roughly GBP 200M-plus annual scale against the installed facility and the five-year SAM. Capacity above GBP 200M is not a hard sales cap: management states an additional approximately GBP 0.75M line can support over GBP 15M revenue. Further qualified demand can therefore lift the outer-year trajectory. At the present Q4 2030 run rate, space+defence revenue is approximately GBP 205.14M annualized, equivalent to 30.54% of the evenly annualized GBP 671.642M SAM proxy; this is an inferred capture test, not observed market share. The SAM's true annual distribution is undisclosed.

11. Dilution sensitivity - same operating case

Denominator sensitivity	Q4 2027 shares M	Q4 2027 ceiling GBp	Effect on ceiling
-5% shares	243.580000	185.270956	+5.26%
+0% shares	256.400000	176.007408	+0.00%
+5% shares	269.220000	167.626103	-4.76%
+10% shares	282.040000	160.006734	-9.09%

This isolates denominator uncertainty at the current active horizon. The operating case, sanctioned multiple, unit factor and exact Q4 2027-Q3 2028 window are held constant; no share assumption changes.

12. Programme and probability ledger

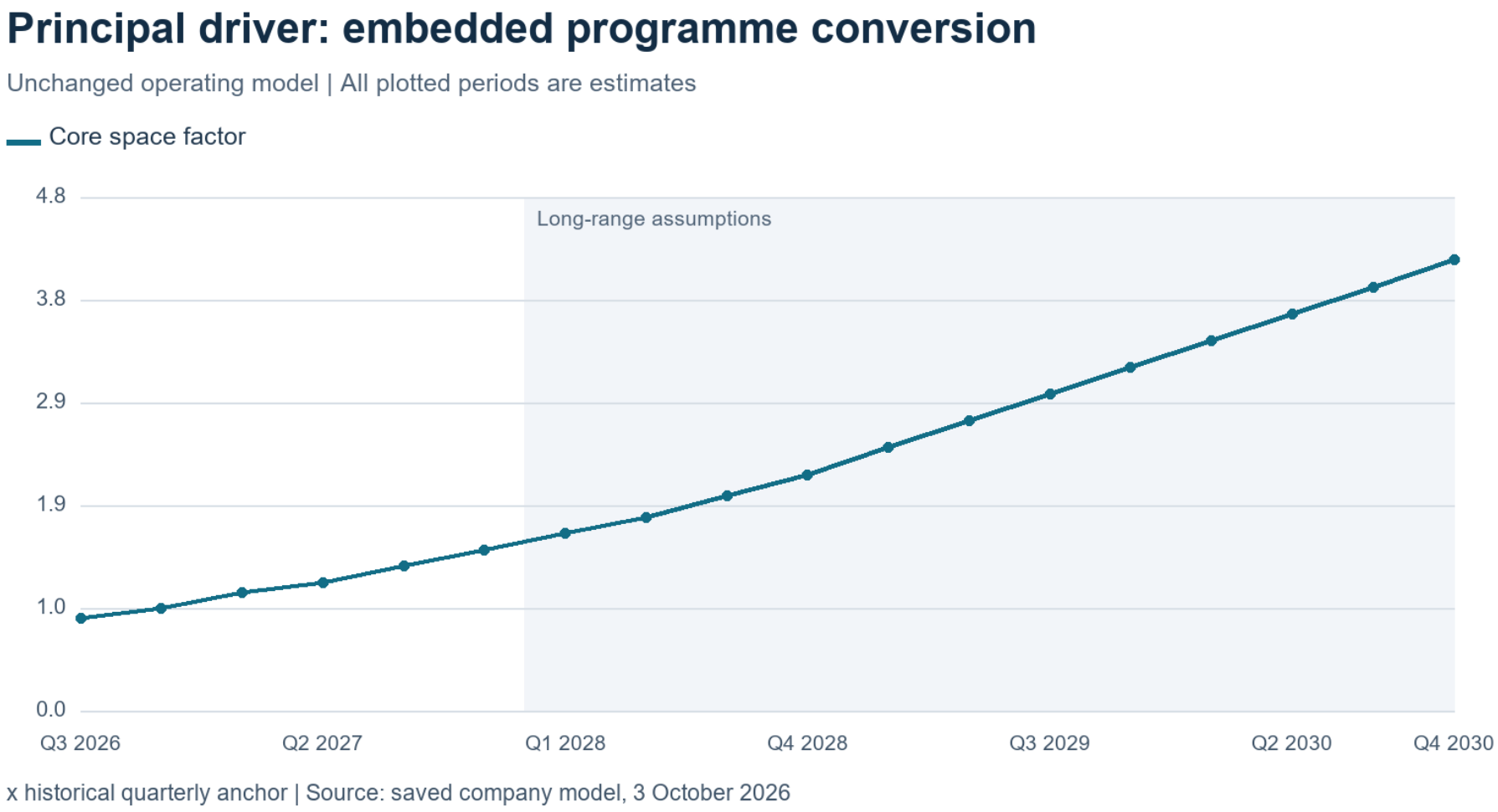


Figure 4. The existing core-product conversion factor is a model assumption. The new order is mapped into this same ramp; it is not added as another revenue vector.

Quarter / Model	Revenue anchor GBP millions	Conversion factor x	Core-product revenue GBP millions
Q3 2026	10.525000	0.858780	9.038657
Q4 2026	10.525000	0.954200	10.042952

Quarter / Model	Revenue anchor GBP millions	Conversion factor x	Core-product revenue GBP millions
Q1 2027	10.525000	1.097330	11.549395
Q2 2027	10.525000	1.192750	12.553690
Q3 2027	10.525000	1.350000	14.208750
Q4 2027	10.525000	1.500000	15.787500
Q1 2028	10.525000	1.650000	17.366250
Q2 2028	10.525000	1.800000	18.945000
Q3 2028	10.525000	2.000000	21.050000
Q4 2028	10.525000	2.200000	23.155000
Q1 2029	10.525000	2.450000	25.786250
Q2 2029	10.525000	2.700000	28.417500
Q3 2029	10.525000	2.950000	31.048750
Q4 2029	10.525000	3.200000	33.680000
Q1 2030	10.525000	3.450000	36.311250
Q2 2030	10.525000	3.700000	38.942500
Q3 2030	10.525000	3.950000	41.573750
Q4 2030	10.525000	4.200000	44.205000

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
October 1 SpaceX GaN production	FTC-7; 90% delivery judgment	GBP 51.3M total; materially FY2028	100% overlap with the existing FY2028 GBP 66.3075M core-space ramp; incremental revenue and OP zero	Revisit dated shipment, acceptance, commercial-concession or guidance changes.
Existing customer production	Signed programmes;90% execution confidence	Approximately 90% FY27 outlook revenue covered in backlog	Embedded in GBP 63M FY27 base; no second backlog line	Repeat deliveries 95-100%; cancellations/deferrals replace the timing assumption.
September US payload award	Signed issuer RNS;90%	GBP 5.9M total, not annual	Separate recognized-sales vector, fully conditional on performance; no hidden probability haircut	Prototype acceptance 95%; H1 FY28 completion; a production extension requires separate terms.

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
V-band full systems	Delivered samples and management roadmap;60%	USD 3 bn ten-year SAM, company capture uncontracted	Embedded inside space expansion, not added to broader SAM	Customer production contract 80%; accepted repeats 95%; replace embedded capture with sourced units/price.
India / additional regional routes	Non-binding commercial MoU;55%	No signed customer order value	Unquantified incremental option	Named award 80%; route into space or defence and remove any overlapping proxy.

Probabilities are subjective model judgments, not observed frequencies. Framework 8 requires pricing credible breadcrumbs before official confirmation: use a labeled bounded unit, capture or revenue proxy when direct data are incomplete. An unknown disclosed order amount alone is not a zero-weight rule. Existing regional access and higher-band opportunities are already represented within the core-space/defence capture factors; no separate increment is added to those same economics in this evidence refresh. A genuinely distinct future signal must be assessed for incremental scope, probability, timing and costs. The legacy September payload vector remains fully embedded once; its 90% delivery confidence is not reapplied as a new haircut. The October order adds zero solely because of 100% modeled overlap.

October signal ledger field	Active treatment
ID / date / source	FTC-20261001-SpaceX / 1 October 2026 / FTC-7; one event, regardless of packet reposts
Reference already modeled	FY2028 core-space GBP 66.3075M; existing quarterly product cells E44:E47
Conditional amount / timing	GBP 51.3M total; materially FY2028. Full-in-year coverage limit 77.3668%; exact phasing unknown
Probability / overlap	90% delivery / 100% already included
Increment / weighted increment	GBP 0 / GBP 0 revenue; GBP 0 OP; zero change to all 15 ceilings
Model cells	FTC_L_Q_Model E44:E47 existing space revenue and F21:F24 OP stay unchanged; probability/source ledger only
No-increment / probability test	At 0%, 90% or 100% delivery probability, p x zero incremental sales is zero; this does not erase the operating risk of the embedded programme
Raise/reduce/replace test	Shipment acceptance, delivery changes, revised company expectations, pricing/concessions, or another independently sized programme change the affected inputs

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Customer concentration	-1	Lead-customer FY27 share is expected at 50-60%; volume depends on its deployment, sourcing and negotiating decisions.
Programme / technology execution	-1	Prototype-to-volume, qualification and full-system deliveries must meet roadmap dates.
Pricing / competitive architecture	-1	Commercial concessions, competing suppliers and customer internal development can limit gross economics despite a larger SAM.
Dilution / currency and capital	-1	Customer warrants, employee awards and USD revenue translation affect per-share results; capitalized development and leasing also require cash discipline.

14. Dated catalysts, counters and escalation

1. **2026-11-30 (FY27 H1 end) - Check GaN qualification, space order recognition and September payload milestone work.** A gap between reported revenue and the quarter buckets prompts a timing bridge; no automatic annual smoothing.
2. **2027-05-31 (FY27 end) - Test GBP 63M endorsed base plus the separately phased payload award; defence exceeds 2×FY26.** If the new award is already included in refreshed company expectations, remove its separate incremental treatment to prevent double counting.
3. **2027-11-30 (H1 FY28 end) - Payload award expected complete; recognize only performance delivered.** A two-quarter delay reduces current window OP and moves it to the actual acceptance period.
4. **By 2028-05-31 - V-band production orders and full-system deliveries test the next growth step;60%→80% on a named contract.** Samples without volume wins leave long-range capture LOW and reopen cycle/catalyst scores.
5. **By 2029-05-31 - Test W-band and multi-constellation roadmap against repeat manufacture.** Concurrent band/customer announcements must be mapped to distinct invoice content.
6. **Every results release - Reconcile warrants, share denominator, price concessions, R&D capitalization and lead-customer concentration.** Higher throughput without improving operating economics reopens the margin path; denominator changes flow through every ceiling.

15. Cross-book monitoring

MACOM ↔ Filtronic: compare available GaN/RF device technology with Filtronic packaging/system qualification; chip capability is not automatically a complete SSPA substitute. SpaceX/other constellation operators ↔ Filtronic: disclosed gateway/payload programme orders and actual deployment are the useful signals, not corporate valuation or a prospective listing. EOS ↔ Filtronic: shared defence budget support does not create identical product demand; track named procurement contracts separately. India/Japan channel agreements test diversification. Their economics overlap existing capture assumptions; a distinct credible opportunity should receive a bounded, probability-weighted increment before an official order when a defensible bridge can be built.

16. Source register and model limits

FTC-7 - Issuer: USD 68.1M SpaceX order (2026-10-01). GBP 51.3M Cerus E-band GaN SSPA production award; materially fulfilled FY2028 and underpinning existing Board expectations. Original HTML/text preserved in the October 3 evidence packet; not a new period's earnings release.

FTC-1 - FY2026 annual report (2026-08-04). FY2026 revenue 55.529M, OP 3.971M and diluted shares 256.400M. Warrants reduced revenue by 3.504M. The report expects FY2027 earnings to be weighted to H2. The historical share count includes option/warrant dilution and is a proxy, not a guaranteed forward denominator.

FTC-2 - FY2026 management presentation (2026-08). Management endorses approximately GBP 63M FY2027 revenue, H2-weighted; about 90% backlog coverage. Space 42.1M, defence 5.9M FY2026. Five-year identified SAM USD 4.5 bn; V-band ground-station SAM USD 3 bn over ten years. 200W V-band samples delivered; FY28/29 roadmap to multi-band volume. Capacity exceeds GBP 200M sales; not a demand forecast.

FTC-3 - HY2026 management presentation (2026-02). H1 FY2026 revenue 25.3M and OP 2.6M. Pricing changed in exchange for anticipated volume. Management discussed low incremental line capex and customer-funded development. Its earlier roughly 13% R&D spending aim is superseded by the FY2026 report's approximately 17% actual spending.

FTC-5 - Issuer RNS: USD 8M US customer follow-on payload order (2026-09-16). New GBP 5.9M design/development/prototype award follows the June GBP 0.4M development contract and March USD 8M amplifier order. Recognition spans FY2027/28; expected completion H1 FY2028. Contract probability is separate from quarterly phasing.

FTC-6 - Issuer: India market access agreement (2026-09-07). Non-binding MoU with Spur Microwave, a Marubeni subsidiary, supports local access to Indian space/defence programmes. It is a distribution/development route, not a disclosed sales order.

Full model with explicit contract recognition and long-range SAM/capture assumptions. Product contribution margins, outer-year capture and prospective warrant consideration are estimates. The two latest issuer results decks are covered but spoken call Q&A is not; the transcript gate is not claimed complete. The starting denominator is historical diluted weighted average, used as a forward proxy with sensitivity. Protected portfolio Base remains 80%; the artifact advisory score is independent.

Workbook: v3_2_master_portfolio.xlsx, model tab FTC_L_Q_Model. It owns portfolio ranking, prices and return calculations; those are intentionally outside this artifact. **Current artifact path:** G:\My Drive\1amInvesting\Artifacts\FTC.L_Filtronic_DeepDive.md. **Original snapshot:** versions/originals/FTC.L_Filtronic_DeepDive.md. Superseded history is retained separately in VERSION_LOG, not in this current-state model.